

Multiple Choice

1. **Answer:** C

Options: A) decreasing AD with constant SRAS.; B) a decrease in AD with increasing SRAS.; C) decreasing SRAS with constant AD.; D) increasing both AD and SRAS.; E) a decrease in AD and an increase in SRAS.

Note: Correct option: C - decreasing SRAS with constant AD.

2. **Answer:** A

Options: A) Conducting monetary policy for the government; B) Offering educational services on finance; C) Investing in securities; D) Issuing credit cards; E) Setting interest rates for the entire economy

Note: Correct option: A - Conducting monetary policy for the government

3. **Answer:** B

Options: A) Per unit and per category; B) Ad valorem and specific; C) Percentage and fixed fee; D) Comprehensive and selective; E) Fixed rate and variable rate

Note: Correct option: B - Ad valorem and specific

4. **Answer:** C

Options: A) It will be located in the middle of the equilibrium price.; B) It will be located below the equilibrium price.; C) It will be located above the equilibrium price.; D) It will be located above the market price.; E) It is used when the equilibrium price is too high.

Note: Correct option: C - It will be located above the equilibrium price.

5. **Answer:** B

Options: A) The FED lowers the discount rate.; B) The FED sells government securities in the secondary market.; C) The federal government spends less money.; D) The FED lowers reserve requirements.

Note: Correct option: B - The FED sells government securities in the secondary market.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Per capita figures measure growth more accurately and show changes in individual welfare.'

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: '\$50 billion'.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'The good is inferior and the income effect is stronger than the substitution effect.'

9. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** Municipal bonds. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** Inefficient satisfaction of consumers' desires, emphasis on physical output obscuring quality and cost, resistance to superior technologies due to higher production quotas. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.